BMAN 71171 – PORTFOLIO INVESTMENT

Active Portfolio Management: Factor Allocations in European Equities

A six-month active strategy against the MSCI Europe Index

31 December 2024 – 30 June 2025 · €1.0 billion initial capital

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1. Executive Summary

This report documents the construction, live monitoring and full performance and risk evaluation of an actively managed European equity portfolio benchmarked against the MSCI Europe Index (proxied by the iShares MSCI Europe ETF, SMEA LN). With an initial mandate of €1.0 billion as of 31 December 2024, the strategy expressed top-down macroeconomic and industry views through active sector weights across the eleven GICS sectors, and was evaluated over a six-month horizon to 30 June 2025.

The investment thesis was built on an early-cycle recovery view for the Eurozone: gradually improving GDP and PMI data, disinflation toward the ECB's 2% target, and a well-telegraphed rate-cutting cycle from both the ECB and the Bank of England. Five active positions were taken against the benchmark:

- **Industrials (overweight):** +7pp, positioned for the cyclical upswing, record Aerospace & Defence order books and rate-cut-driven capex.
- **Health Care (overweight):** +5pp, held as a defensive anchor given residual macro uncertainty and structurally rising demand.
- **Financials (underweight):** –3pp, reflecting anticipated net-interest-margin compression as policy rates fell.
- **Utilities (underweight/short):** –4pp (including a small short of ~€0.4m), on post-2023 earnings normalisation and stretched, debt-funded capex.
- **Information Technology (underweight):** –5pp, on weak European enterprise tech demand and limited European participation in the AI capex cycle.

Over the six months the portfolio returned +8.47% against +9.09% for the benchmark, an active return of –0.62% with an annualised tracking error of 1.22%. The single dominant market event was the April 2025 'Liberation Day' tariff shock, which triggered a sharp, systematic drawdown in both portfolio and benchmark; the portfolio led the benchmark prior to April but recovered more slowly thereafter.

Brinson attribution shows the industrials overweight added +0.61% — the thesis that worked — while the health-care overweight (–0.65%), driven principally by Novo Nordisk's idiosyncratic de-rating, and the underweights in financials (–0.42%) and utilities (–0.46%), both of which rallied more than 20%, drove the shortfall. A full multi-factor risk decomposition (country, industry, style and currency), marginal contribution analysis and Monte Carlo VaR framework are used to demonstrate that the outcome was allocation-driven rather than a failure of risk control: portfolio total risk (12.82%) and 95% VaR (€208.6m) were both below the benchmark's (13.13%; €214.2m). The report closes with a critical reflection on what the episode teaches about defensive-sector assumptions, single-stock concentration within sector bets, and regime risk.

2. Investment Environment: Macroeconomic Analysis

As of the portfolio's construction date (31 December 2024), the Eurozone was exhibiting the classic signature of an early-cycle recovery. Real GDP grew 1.0% year-on-year in Q3 2024, a clear improvement from the post-pandemic trough of Q3 2023, and both the OECD and the ECB projected modest positive growth through 2024 and 2025. The Eurozone composite PMI rose from 48.3 in November to 49.5 in December 2024 — still marginally in contraction territory, but with the pace of contraction clearly easing.

The inflation picture supported a constructive stance on rate-sensitive cyclicals. ECB staff projections put euro-area HICP at 2.4% for 2024 (down from 5.4% in 2023) and 2.1% for 2025, effectively at target. UK CPI stood at 2.5% in November 2024. Disinflation combined with a softening labour market had already prompted the start of the easing cycle: the Bank of England cut Bank Rate from its 5.25% peak to 5.00% in August 2024 and to 4.75% in November, and both the BoE and the ECB signalled further cuts through 2025 in their projections and minutes.

The strategy therefore rested on three pillars: (i) recovery — improving activity data favouring cyclical sectors; (ii) disinflation — removing the tail risk of renewed tightening; and (iii) easing policy — lower discount rates encouraging corporate investment and capex. This macro configuration argued for overweighting capex-sensitive cyclicals (industrials), holding a defensive ballast against residual uncertainty (health care), and reducing exposure to sectors whose earnings are compressed by falling rates (financials) or whose earnings were normalising from unsustainable peaks (utilities).

3. Sector Views and Portfolio Construction

3.1 Sector Theses

Industrials — Overweight +7pp (24.4% of portfolio). The Eurozone Industrial Production Index was recovering from its lows (EU –1.8% YoY, UK –0.9% in December 2024, both improving), led by motor vehicles, mining, transport equipment and machinery. Industrial and logistics investment rose 14% to €37.9 billion in 2024. Aerospace & Defence — the largest industry group in MSCI Europe — posted record revenues on higher NATO spending and the civil-aviation recovery, with an expected ~5% CAGR despite supply-chain and workforce constraints. Europe's AI market, valued at $53 billion in 2024 and projected to reach $338 billion by 2032, provides a further structural tailwind to industrial automation names. Early-cycle expansion plus falling rates made this the portfolio's highest-conviction position.

Health Care — Overweight +5pp (19.9%). By end-2024 the European health-care sector had stabilised post-pandemic, with governments refocusing on long-term infrastructure and innovation. Demand is structurally underpinned by an ageing population, and EU programmes such as the European Health Data Space and the Pharmaceutical Strategy support digital health and R&D at the sector's champions (Novo Nordisk, Roche, Novartis), although labour shortages and pricing regulation pressure margins. The overweight was intended as a defensive complement to the cyclical industrials bet — steady, moderate returns to stabilise the portfolio through an uncertain recovery.

Financials — Underweight –3pp (17.2%). With euro-area growth stabilising at 1.3–1.5% and inflation converging to 2% (OECD, 2024), the anticipated ECB cutting cycle threatened to compress net interest margins and cap earnings momentum. Lending growth remained stagnant with muted corporate demand; asset quality faced deterioration risk among leveraged borrowers; and Basel III, ESG and digital-compliance requirements continued to raise costs. Despite optically cheap price-to-book multiples, persistent market scepticism argued against multiple expansion — a classic valuation trap. Given the sector's ~20% index weight, a measured underweight to ~17% was adopted.

Utilities — Underweight −4pp (−0.04%, sole short position). After the 2021–2023 power-price surge lifted sector EBITDA from ~€130bn to nearly €180bn, 2024 marked the start of earnings normalisation, with EBITDA expected to fall ~3% as electricity prices declined. Simultaneously, capex reached €130bn in 2024 — largely grid and renewables investment funded by debt — stretching balance sheets and tightening free cash flow at a time of elevated funding costs. The risk–reward looked inferior to lighter-capex sectors, motivating the portfolio's only short position (~€0.4m).

Information Technology — Underweight −5pp (2.7%). European IT endured a volatile 2020–2024 through COVID, inflation and monetary tightening. High rates suppress the sector's long-duration valuations; European enterprises were cutting technology spend and prioritising cost; wage inflation eroded margins; and the global AI investment wave accrues primarily to US mega-cap technology, with limited flow-through to European IT. A 5pp underweight was adopted for the December 2024 – June 2025 horizon.

3.2 Portfolio Implementation

The portfolio was implemented against the iShares MSCI Europe ETF (SMEA LN), with all currencies converted to euros for consistency. The remaining six GICS sectors were held at benchmark weight, isolating the five active views as the sole intended sources of tracking error. Of the €1.0 billion mandate, €995.2m was deployed across sector sleeves, alongside the ~€0.4m utilities short and a residual cash balance of €4.8m (0.48%). Industrials formed the largest sleeve at €244.0m (24.4%). The full construction is set out in Table 1 and Figure 1.

Sector	Benchmark (%)	Active (pp)	Portfolio (%)	Allocation (€)
Financials	20.21	−3.00	17.21	172,168,867
Industrials	17.39	+7.00	24.39	243,997,599
Health Care	14.90	+5.00	19.90	199,079,632
Consumer Staples	10.45	–	10.45	104,541,817
Consumer Discretionary	9.63	–	9.63	96,338,535
Materials	5.84	–	5.84	58,423,369
Information Technology	7.66	−5.00	2.66	26,610,644
Utilities	3.96	−4.00	−0.04	−400,160 (short)
Energy	4.67	–	4.67	46,718,687
Communication	3.93	–	3.93	39,315,726
Real Estate	0.84	–	0.84	8,403,361
Cash / Derivatives	0.48	–	0.48	4,801,921

Table 1: Portfolio construction — benchmark weights, active positions and euro allocations (31 Dec 2024)

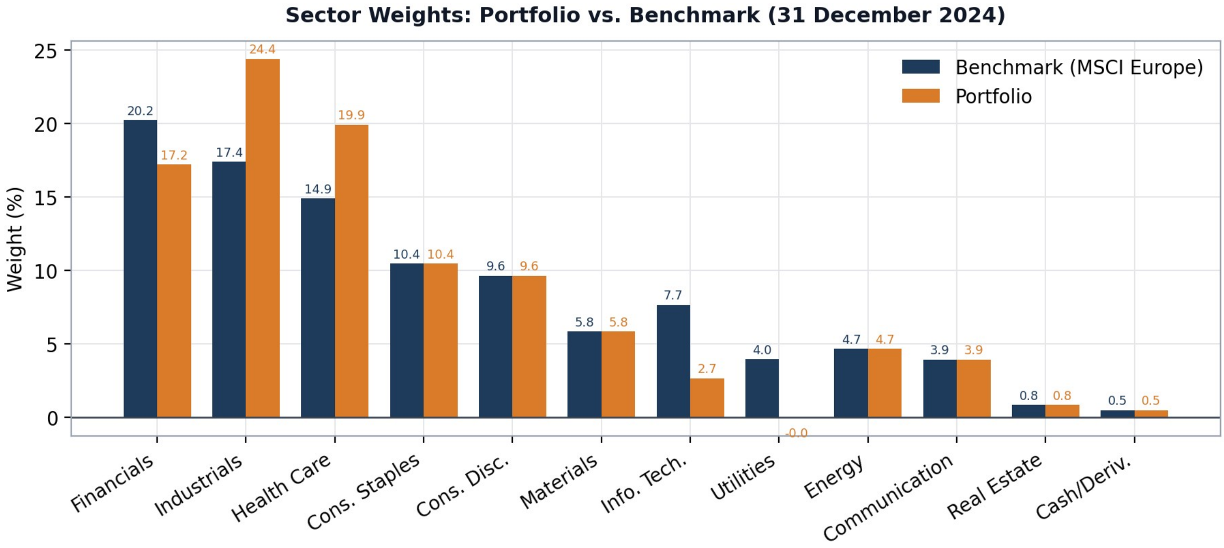

Figure 1: Sector weights, portfolio vs. benchmark

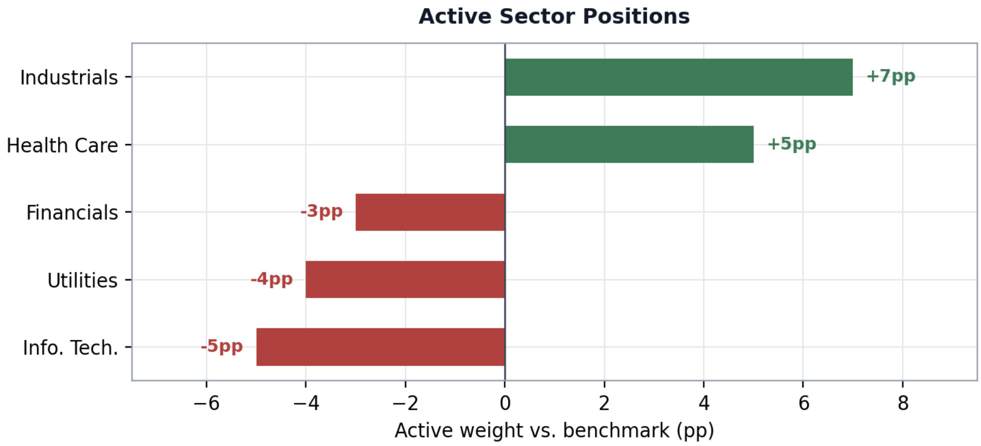

Figure 2: The five active sector positions

Relative to the benchmark, the book is long cyclicality (industrials) hedged with defensiveness (health care), and short rate-sensitivity (financials), earnings normalisation (utilities) and long-duration growth (IT). The structure was deliberately parsimonious: by holding six sectors at benchmark weight, active risk is concentrated where conviction is highest and attribution remains clean and interpretable.

4. Performance Analysis and Attribution

4.1 Return Analysis

Over the six months to 30 June 2025, the portfolio returned +8.47% against +9.09% for the benchmark — an active return of −0.62%. Tracking was tight throughout: the average daily gap between portfolio and benchmark cumulative returns was just −0.11%, consistent with the deliberately concentrated active-weight structure. The widest positive divergence occurred in March 2025 (+0.64% on 6 March) and the widest negative divergence in late June 2025 (−0.77% on 24 June). The portfolio led the benchmark for most of the pre-April period; after the April drawdown it recovered more slowly, ending the window with a modest shortfall.

	Date	Active return gap (%)
Best 1	06/03/25	+0.64
Best 2	10/03/25	+0.63
Worst 2	25/06/25	−0.73
Worst 1	24/06/25	−0.77

Table 2: Largest daily divergences between portfolio and benchmark cumulative return

4.2 Market Events: The April 2025 Tariff Shock

The defining event of the period was 'Liberation Day' on 1 April 2025, when the US administration announced tariffs on all non-US countries. The S&P 500 fell from 5,670 to 5,074 (−11%) in three trading days, erasing trillions of dollars of market value, and European equities sold off sharply in sympathy. Both the portfolio and the benchmark declined steeply — a purely systematic drawdown that no feasible reallocation of sector weights within this mandate could have avoided. Following the announcement of a 90-day tariff suspension and the first UK–US tariff agreement, markets rebounded by late April.

The portfolio's lag emerged in the recovery phase rather than the drawdown itself, and traces directly to the three positions that moved against the thesis. Health care failed to behave defensively: the portfolio's health-care sleeve returned −3.89% over the six months, weighed down by Novo Nordisk — Europe's largest pharmaceutical company — which de-rated on valuation concerns, intensifying competition in the obesity-drug market, and US political pressure over tariffs and drug pricing. Meanwhile the two underweighted 'boring' sectors proved the period's stars: financials returned approximately +24% and utilities +22% in 2025, both demonstrating strong resilience through the tariff episode. In short, the portfolio was underweight the two best-performing sectors and overweight a defensive sector that delivered a negative return.

5. Multi-Factor Risk Analysis

5.1 Benchmark Risk Decomposition

As of 31 December 2024 the benchmark carried total risk of 13.13% (annualised standard deviation). Decomposition shows this is overwhelmingly factor-driven: factor risk accounts for 98.45% of total risk (13.03% standard deviation) against only 1.55% from non-factor (idiosyncratic) sources (1.64%) — exactly what one expects from a broad, well-diversified index of large-cap European equities. Factor risk is decomposed further into country, industry, style and currency components.

Risk component	Std. deviation	Contribution to total risk (%)
Total risk	**13.13**	**100.00**

Risk component	Std. deviation	Contribution to total risk (%)
Factor risk	13.03	98.45
Non-factor risk	1.64	1.55
Country risk	0.52	0.01
Industry risk	0.90	0.31
Style risk	0.56	−0.27
Currency risk	1.55	3.87

Table 3: Benchmark total risk decomposition (31 Dec 2024)

Within industry risk, industrials contribute the most positive risk (+1.24%) — the sector is intrinsically more volatile and pro-cyclical — while health care makes the largest negative contribution (−1.14%), its defensive character dampening index volatility. This decomposition is directly relevant to the portfolio's design: the strategy deliberately paired an overweight in the index's largest risk contributor with an overweight in its largest risk diversifier.

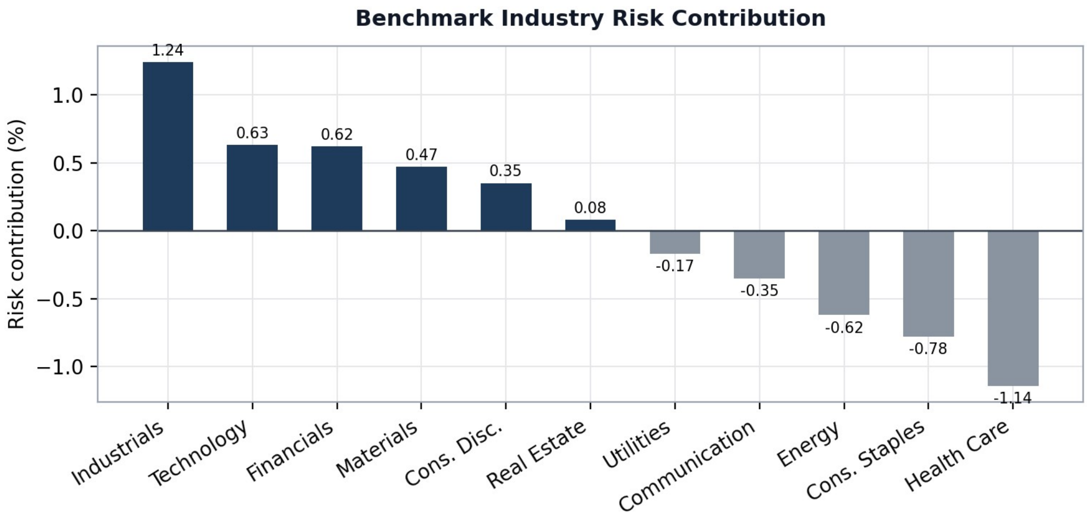

Figure 3: Benchmark industry risk contributions

On the currency dimension, GBP dominates: it carries both the highest standard deviation (1.15) and the highest contribution to currency risk (3.43%), reflecting the large UK weight in MSCI Europe. The Swiss franc, by contrast, acts as a natural hedge, contributing −0.62% — consistent with its safe-haven behaviour.

Currency	Risk (std)	Risk contribution (%)
GBP	1.15	**3.43**
SEK	0.28	0.76
NOK	0.07	0.21
AUD	0.04	0.15
DKK	0.02	0.01
EUR	0.00	0.00
USD	0.05	−0.07
CHF	0.78	**−0.62**

Table 4: Benchmark currency risk decomposition

5.2 Portfolio Total Risk

The portfolio's total risk was 12.82% at inception — slightly below the benchmark's 13.13%, confirming that the active positions did not add gross risk. As with the benchmark, factor risk dominates, accounting for 98.18% of total risk (12.71% standard deviation). The largest total-risk contributors by dimension are summarised below.

Rank	Country	%	Industry	%	Style	%	Currency	%
1	Switzerland	−2.44	Industrials	1.84	Beta	−1.09	GBP	3.45
2	France	0.84	Health Care	−1.31	Liquidity	0.60	SEK	0.80
3	Sweden	0.75	Materials	0.43	Size	0.12	CHF	−0.57

Table 5: Largest contributors to portfolio total risk, by factor block

5.3 Active Risk and Factor Exposures

Active risk (tracking error) is where the strategy's intent is visible. The largest contributors to active risk map one-for-one onto the deliberate positions: health care is the dominant industry contributor to tracking error (10.20%), followed by technology (7.17%) and utilities (3.22%) — the three largest deviations from benchmark weight. Because contribution-to-tracking-error (CTEV) reflects both the size of the active weight and the volatility and covariance of each factor, these industry bets jointly account for the bulk of total TEV. Among style factors, beta is the principal source of active risk (5.47%), indicating the portfolio's market sensitivity differs modestly from the benchmark's. On currencies, elevated Swiss-franc exposure adds active risk (2.25%) while the portfolio's US-dollar exposure is risk-reducing (−0.71%).

Rank	Country	%	Industry	%	Style	%	Currency	%
1	Denmark	3.48	Health Care	10.20	Beta	5.47	CHF	2.25
2	Switzerland	3.14	Technology	7.17	Valuation	1.34	GBP	0.27
3	Netherlands	2.90	Utilities	3.22	Profit	0.92	USD	−0.71

Table 6: Largest contributions to active risk (CTEV), by factor block

Active factor exposures tell the same story from the sensitivity side. The portfolio is more sensitive than the benchmark to the Swiss market (+0.02) and less to the Dutch market (−0.04); more exposed to health care (+0.03) and less to energy (−0.03); tilted toward profitable companies (UK Profit +0.03) and away from low-valuation names (UK Valuation −0.04); and more sensitive to CHF moves (+0.02) while least affected by the euro (−0.03).

	Country	Exp.	Industry	Exp.	Style	Exp.	Currency	Exp.
Highest	Switzerland	+0.02	Health Care	+0.03	UK Profit	+0.03	CHF	+0.02
Lowest	Netherlands	−0.04	Energy	−0.03	UK Valuation	−0.04	EUR	−0.03

Table 7: Largest active factor exposures vs. benchmark

5.4 Marginal Contributions to Active Risk

Marginal contributions (scaled ×100 for comparability) identify how tracking error would respond to incrementally larger factor exposure: positive values raise TEV at the margin, negative values reduce it. Health care (2.56) and Denmark (2.57) show the largest positive marginals — adding to either would have widened tracking error further — while energy (−2.43), Italy (−1.19) and US beta (−2.13) carry significant negative marginals, meaning greater exposure would have hedged active risk. Style factors are second-order (UK momentum highest at 0.72); among currencies, USD raises active risk at the margin (1.27) while AUD reduces it (−1.03). These marginals are managerially useful: they show precisely which levers would most efficiently de-risk the book without unwinding the core theses.

	Country	×100	Industry	×100	Style	×100	Currency	×100
Highest	Denmark	2.57	Health Care	2.56	UK Momentum	0.72	USD	1.27
Lowest	Italy	−1.19	Energy	−2.43	US Beta	−2.13	AUD	−1.03

Table 8: Marginal contributions to active risk

5.5 Idiosyncratic Risk and the Novo Nordisk Concentration

The active risk profile validates the strategy design — the largest contributors are exactly the intended bets — but it also exposes the strategy's key vulnerability: single-stock concentration inside sector positions. Denmark's outsized country contribution to active risk (3.48%, the highest) is effectively a Novo Nordisk exposure in disguise: the company is Denmark's largest and dominates the country factor. Novo Nordisk alone accounts for 29.23% of active idiosyncratic risk — second only to ASML (53.4%), whose weight in the underweighted technology sleeve drives the largest idiosyncratic deviation. The 2025 underperformance of Novo Nordisk, discussed in Section 4, is therefore the single most plausible driver of the portfolio's realised active shortfall in health care.

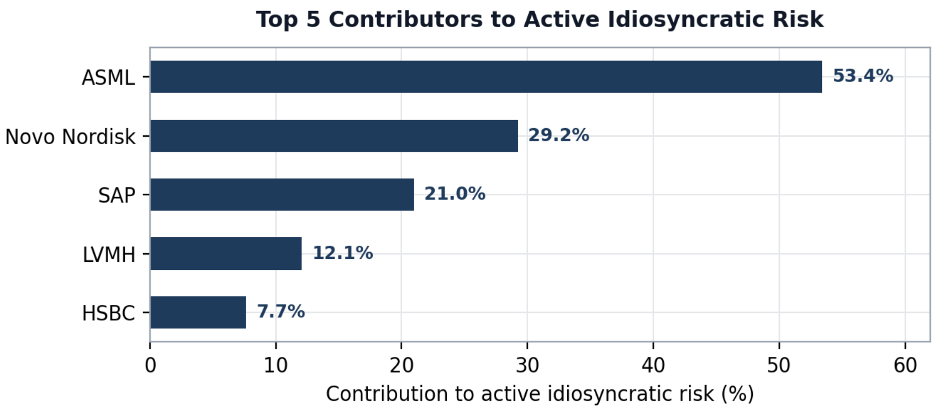

Figure 4: Top contributors to active idiosyncratic risk

6. Risk-Adjusted Performance

Risk-adjusted metrics confirm that the shortfall was a return problem, not a risk-control problem — but they do not flatter the outcome. The six-month Sharpe ratio of 0.98 sits below the benchmark's 1.07: per unit of total volatility, the strategy delivered less excess return. The Treynor measure of 0.17 indicates returns did not fully compensate the systematic risk borne per unit of beta. Jensen's alpha of −1.67 over the six-month window confirms that the active strategy generated no positive abnormal return after adjusting for market exposure, and the information ratio of −0.95 shows the tracking error taken was not rewarded. Realised portfolio volatility (17.32% annualised) ran marginally above the benchmark's 17.04%.

Portfolio statistic	Port (3M)	Bmrk (3M)	Port (6M)	Bmrk (6M)
Total return (%)	0.88	1.61	8.28	8.94
Mean return (%)	6.02	9.03	19.24	20.65
Standard deviation (annualised, %)	21.64	21.20	17.32	17.04
Sharpe ratio	0.18	0.33	**0.98**	**1.07**
Jensen alpha	−3.14	–	−1.67	–
Information ratio	−2.39	–	−0.95	–
Treynor measure	0.04	–	0.17	–

Table 9: Risk-adjusted return analysis. Minor differences from the total-return figures in Section 4 arise from Bloomberg's fixed-calendar-period convention for risk-adjusted statistics.

7. Extended Analysis

7.1 Brinson Attribution: Allocation vs. Selection

Decomposing active return with the Bloomberg performance-attribution framework isolates where the −0.62% shortfall was earned and lost. Because the strategy took sector positions in benchmark instruments, selection effects are, by construction, close to zero — the result is almost entirely an allocation story. The portfolio-level allocation effect of −0.71% decomposes as: health care −0.65% (overweighted while it underperformed), utilities −0.46% and financials −0.42% (underweighted while both rallied strongly), partially offset by industrials +0.61% — the thesis that worked — and information technology +0.27%, where the underweight in a lagging sector added value.

	Allocation effect (%)	Selection effect (%)
Portfolio (total)	**−0.71**	**−0.13**
Financials	−0.42	+0.03
Health Care	−0.65	+0.01
Industrials	+0.61	0.00
Information Technology	+0.27	−0.04
Utilities	−0.46	0.00

Table 10: Allocation and selection effects over the six-month horizon

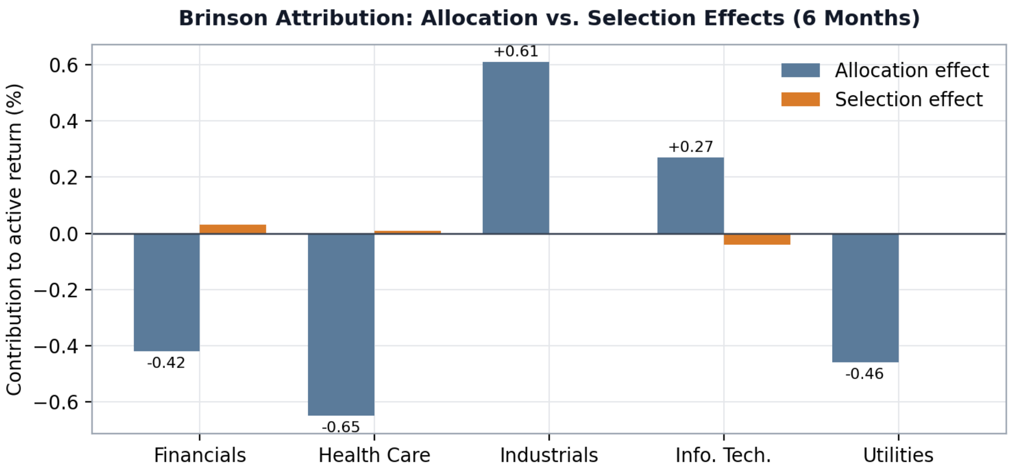

Figure 5: Brinson attribution by active sector

7.2 Additional Risk Statistics

Realised risk statistics add texture to the volatility comparison. The portfolio's annualised standard deviation (17.32%) and downside deviation (13.61%) both ran slightly above the benchmark (17.04% and 13.40%), implying marginally greater exposure to losses. Both return distributions were strongly left-skewed (portfolio −1.27; benchmark −1.29) — an imprint of the April tariff shock, and a reminder that both books carried meaningful tail risk. The Sortino ratio versus the index of −0.12 confirms underperformance persists when penalising only downside volatility. Annualised tracking error of 1.22% is consistent with a disciplined, benchmark-aware active strategy rather than an unconstrained one.

Statistic	Portfolio	Benchmark
Standard deviation (annualised, %)	17.32	17.04
Downside risk (annualised, %)	13.61	13.40
Skewness	−1.27	−1.29
Sortino ratio vs. index	−0.12	–
Tracking error (annualised, %)	1.22	–

Table 11: Additional realised risk statistics

7.3 Downside Risk: Monte Carlo VaR

A Monte Carlo simulation at 95% confidence was used to quantify downside risk by industry. The portfolio's overall VaR of €208.6m is below the benchmark's €214.2m — the active structure reduced tail risk in aggregate. The sector pattern mirrors the active weights: industrials (€63.8m vs. €44.9m) and health care (€46.3m vs. €34.6m) carry higher VaR than their benchmark equivalents, the price of the overweights, while IT VaR is roughly half the benchmark's (€10.2m vs. €29.7m) and utilities VaR is negligible, reflecting the underweight and short. Marginal VaR across the eleven industries ranges from ~13 to 29.5, peaking in information technology — meaning that, at the margin, adding IT exposure would raise portfolio risk fastest. Most sectors show negative partial VaR, indicating diversification benefit. Higher conditional VaR (CVaR) figures, such as industrials at €85.3m, flag where losses beyond the VaR threshold would concentrate in a severe scenario.

Industry	Portfolio VaR	Benchmark VaR	CVaR	Partial VaR	Marginal VaR
Portfolio (total)	**2,086**	**2,142**	**2,865**	–	–

Industry	Portfolio VaR	Benchmark VaR	CVaR	Partial VaR	Marginal VaR
Consumer Discretionary	301	300	405	−248	26.89
Communication Services	79	81	109	−55	13.76
Industrials	638	449	853	−580	24.07
Financials	444	519	615	−393	23.15
Health Care	463	346	624	−323	16.89
Energy	139	141	188	−0.95	18.05
Consumer Staples	197	195	267	−130	14.28
Materials	140	155	193	−126	21.21
Utilities	1	95	1	1	16.51
Information Technology	102	297	133	−84	29.50
Real Estate	26	27	33	55	15.78

Table 12: Monte Carlo VaR analysis by industry, 95% confidence (€100 thousands; Marginal VaR unscaled)

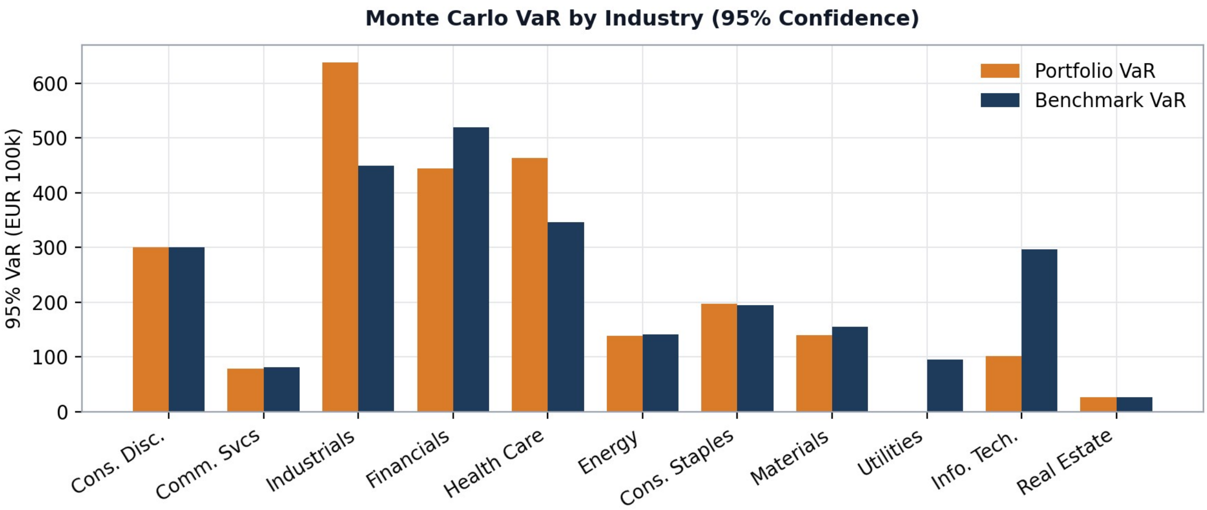

Figure 6: 95% VaR by industry, portfolio vs. benchmark

8. Critical Reflection and Lessons Learned

The value of a live six-month exercise lies less in the –0.62% headline than in what the episode reveals about active-management process. Four lessons stand out.

- **Defensive labels are conditional, not structural.** The health-care overweight was designed as defensive ballast, yet the sleeve returned –3.89% while 'risky' financials and utilities returned over +20%. Defensiveness is a statistical property of a sector's history, not a guarantee — and it can be overwhelmed by idiosyncratic and political shocks (obesity-drug competition, US drug-pricing pressure) that sector-level analysis does not capture.
- **Sector bets can hide single-stock concentration.** Novo Nordisk accounted for 29.23% of active idiosyncratic risk and dominated both the Denmark country factor and the health-care sleeve. A sector-level thesis was, in practice, substantially a single-stock exposure. The risk model flagged this at inception — Denmark's 3.48% active-risk contribution was the largest country figure — illustrating why ex-ante risk decomposition should feed back into position sizing, for example by capping single-name idiosyncratic contribution within sector sleeves.
- **Underweights need invalidation triggers too.** The financials underweight rested on NIM compression from rate cuts — a sound mechanism that was swamped by resilient earnings and a sector re-rating; the utilities short faced a sector that rallied +22%. Both were reasonable ex-ante calls invalidated by regime dynamics (post-tariff rotation into domestically-oriented, income-generating European sectors). Predefined review triggers — e.g., a sector outperforming its underweight thesis by a set threshold — would have forced earlier reassessment within the buy-and-hold constraint.
- **Systematic shocks dominate sector effects.** The April tariff shock moved both books nearly identically — sector reallocation within a fully-invested European equity mandate offers no protection against a global systematic drawdown. The strongly negative skew (−1.27) in both return distributions quantifies this. Where the mandate permits, tail-risk overlays or dynamic beta management, guided by the marginal-contribution analysis in Section 5.4 (e.g., the risk-reducing marginals of energy and US beta), are the appropriate tools.

Crucially, the risk framework worked as intended even where the return theses did not: total risk, tracking error and VaR all remained controlled and fully explained by deliberate positions. The exercise demonstrates the difference between taking risk knowingly and being surprised by it — the former is the foundation of a defensible investment process even in a period of underperformance.

9. Conclusion

Over the six months to 30 June 2025, the portfolio returned +8.47%, underperforming the MSCI Europe benchmark by 0.62% with an annualised tracking error of 1.22%. The industrials overweight was the strongest positive contributor (+0.61% allocation effect), validating the early-cycle macro thesis, but was outweighed by the health-care overweight (–0.65%), the utilities short (–0.46%) and the financials underweight (–0.42%), as the two underweighted sectors rallied more than 20% and the intended defensive anchor was dragged down by Novo Nordisk's idiosyncratic de-rating.

From a risk perspective the strategy was disciplined: portfolio total risk (12.82%) and 95% Monte Carlo VaR (€208.6m) were both below the benchmark (13.13%; €214.2m), and every major contributor to active risk mapped onto an intended position. The outcome is therefore best characterised as controlled risk, misallocated: the process — macro framing, explicit sector theses, multi-factor risk decomposition, attribution and downside analysis — functioned coherently end-to-end, while the sector calls themselves were partially invalidated by the post-tariff market regime. The lessons drawn in Section 8, on defensive-sector assumptions, embedded single-stock concentration and invalidation triggers for underweights, define the concrete process improvements for the next iteration of the strategy.

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